

4.1.5 Perfect competition, imperfectly competitive markets and monopoly

4.1.5.1 Market structures

Content	Additional information
• The spectrum of competition ranging from perfect competition at one end of the spectrum to pure monopoly at the other end of the spectrum. • Factors such as the number of firms, the degree of product differentiation and ease of entry are used to distinguish between different market structures.	

4.1.5.2 The objectives of firms

Content	Additional information
• The models that comprise the traditional theory of the firm are based upon the assumption that firms aim to maximise profits. • The profit-maximising rule ($MC=MR$). • The reasons for and the consequences of a divorce of ownership from control. • Firms have a variety of other possible objectives. • The satisficing principle.	Students should recognise that firms have a range of possible objectives including survival, growth, quality, maximising their sales revenue and increasing their market share. Students should be able to discuss how the divorce of ownership from control may affect the objectives of firms, their conduct and performance.

4.1.5.3 Perfect competition

Content	Additional information
• The formal diagrammatic analysis of the perfectly competitive model in the short and long run. • The implications of the following for the behaviour of firms and the industry: large numbers of producers, identical products, freedom of entry and exit, and perfect knowledge. • Firms operating in perfectly competitive markets are price takers. • The proposition that, given certain assumptions, relating for example to a lack of externalities, perfect competition will result in an efficient allocation of resources.	Students should be aware that perfect competition, in both product and labour markets, provides a yardstick for judging the extent to which real world markets perform efficiently or inefficiently, and the extent to which a misallocation of resources occurs. Students should also be able to assess critically the proposition that perfectly competitive markets lead to an efficient allocation of resources.

4.1.5.4 Monopolistic competition

Content	Additional information
• The formal diagrammatic analysis of the monopolistically competitive model in the short and long run. • The main characteristics of monopolistically competitive markets. • Monopolistically competitive markets will be subject to non-price competition.	

4.1.5.5 Oligopoly

Content	Additional information
• The main characteristics of oligopolistic markets. • Oligopolistic markets can be very different in relation to, for example, the number of firms, the degree of product differentiation and ease of entry. • Oligopoly can be defined in terms of market structure or in terms of market conduct (behaviour). • Concentration ratios and how to calculate a concentration ratio. • The difference between collusive and non-collusive oligopoly. • The difference between cooperation and collusion. • The kinked demand curve model. • The reasons for non-price competition, the operation of cartels, price leadership, price agreements, price wars and barriers to entry. • The factors which influence prices, output, investment, expenditure on research and advertising in oligopolistic industries. • The significance of interdependence and uncertainty in oligopoly. • The advantages and disadvantages of oligopoly.	Students should be aware of the various factors which affect the behaviour and performance of firms in a variety of real world markets. The factors include different barriers to entry and the degree of concentration and product differentiation. The kinked demand curve model should be used as an illustration of the interdependence between firms and not taught as if it is the only model of oligopoly. Students should recognise that collusion may allow oligopolists to act as a monopolist and maximise their joint profits.

4.1.5.6 Monopoly and monopoly power

Content	Additional information
• The formal diagrammatic analysis of the monopoly model. • That monopoly power is influenced by factors such as barriers to entry, the number of competitors, advertising and the degree of product differentiation. • The advantages and disadvantages of monopoly.	Students should appreciate that firms operating in monopolistically competitive and oligopolistic markets are price makers and have varying degrees of monopoly power.

4.1.5.7 Price discrimination

Content	Additional information
• The conditions necessary for price discrimination. • The advantages and disadvantages of price discrimination.	Students should be aware of real-world examples of price discrimination and be able to assess its impact on producers and consumers. A diagrammatic analysis of price discrimination is expected.

4.1.5.8 The dynamics of competition and competitive market processes

Content	Additional information
- Both the short-run and long-run benefits which are likely to result from competition. - That firms do not just compete on the basis of price but that competition will, for example, also lead firms to strive to improve products, reduce costs, improve the quality of the service provided. - The process of creative destruction.	Students should understand that if firms have monopoly power and are making large profits, over time there will be an incentive for new firms to enter the market and to innovate to overcome the existing barriers to entry. Students should understand that this process of creative destruction is a fundamental feature of the way in which competition operates in a market economy.

4.1.5.9 Contestable and non-contestable markets

Content	Additional information
- The significance of market contestability for the performance of an industry. - Concepts such as sunk costs and hit-and-run competition.	

4.1.5.10 Market structure, static efficiency, dynamic efficiency and resource allocation

Content	Additional information
- The difference between static efficiency and dynamic efficiency. - The conditions required for productive efficiency (minimising average total costs) and allocative efficiency (price = marginal cost). - Dynamic efficiency is influenced by, for example, research and development, investment in human and non-human capital and technological change.	Students should be able to apply efficiency concepts when comparing the performance of firms in markets with different structures. They should understand how conduct and performance indicators can be used to compare market structures.

4.1.5.11 Consumer and producer surplus

Content	Additional information
Be able to apply these concepts when discussing economic efficiency and welfare issues, such as price discrimination and the dead-weight losses associated with monopoly.	Diagrammatic analysis is expected.